CloudClinic®
Your convenient access to healthcare

Lights on Heights Holdings Limited Office, Road 7A, Dr, Shaffideen Amuwo, Lekki Scheme 2, Aja, Lagos State.

21st June, 2023
Ref No: CCL/ERB/LE/2023/01

Etta Rapheal Bassey
2 Gospel Street
by Nwariba,behind Durap Hotel,
Uyo, AKS,
Nigeria.

Dear Etta Raphael Bassey,

Introduction of Employee Stock Ownership Plan (ESOP)

We hope this letter finds you well. We are delighted to announce the introduction of our new **Employee Stock Ownership Plan (ESOP), which aims to provide our valued employees with an opportunity to own a stake in the company and share in its success**.

The ESOP has been designed to reward our employees for their dedication, commitment, and hard work, and to align their interests with the long-term growth and prosperity of the company. As an employee-owned company, we believe that this program will not only enhance our overall workplace environment but also contribute to the overall success of our organization.

Under the ESOP, you have been allotted a certain amount of money and shares. The amount of money and shares allotted to each employee is based on various factors, including your position, tenure, and performance. Please refer to the attached ESOP Agreement for detailed information on your specific allocation.

While participation in the ESOP is not compulsory, we strongly encourage you to carefully review the attached ESOP Agreement. It provides valuable information regarding the benefits and terms of the program. By signing and returning the agreement within the next two weeks **(10th July, 2023),** you will secure your eligibility to participate in the ESOP. Please note that this offer will expire after two weeks **10th July, 2023**, and we will be unable to accommodate late submissions.

We would like to emphasize the numerous advantages of participating in the ESOP:

a) **Ownership**: By becoming a shareholder in the company, you will have a personal stake in our success, leading to a sense of pride, loyalty, and shared responsibility.

b) **Financial Growth**: As the company prospers, so will the value of your shares. This presents an opportunity for long-term financial growth and potentially significant returns.

c) **Retirement Security**: The ESOP can serve as a valuable retirement savings vehicle, helping you build a solid financial foundation for the future.

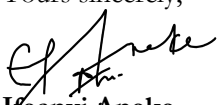
d) **Enhanced Motivation:** When employees have a direct stake in the success of the company, it often leads to increased motivation, productivity, and a stronger commitment to achieving our collective goals. This increased productivity will lead to personal growth, development and promotions.

We believe that this ESOP will create a mutually beneficial relationship between **You** and **Cloud Clinic Limited**, fostering a culture of shared ownership and long-term success. We value your contributions and are excited to offer you this unique opportunity.

If you have any questions or require further clarification regarding this ESOP, please do not hesitate to contact the Human Resources Department or the Office of the CEO. We are here to assist you throughout the process.

Thank you for your attention, and we look forward to your active participation in the Employee Stock Ownership Plan.

Yours sincerely,



Ifeanyi Aneke

CEO/Founder

EMPLOYEE SHARE OWNERSHIP AGREEMENT

This Agreement is made…….day of……., 2023

Between

CLOUD CLINIC LIMITED, a company located at Dr. Shaffideen Amuwo Street, road 7A, Lekki Scheme 2, Ajah Lagos hereinafter referred to as the **EMPLOYER** and/where the context so admit shall include its Successor-in-title and assigns of the one part.

AND

MR. ETTA RAPHEAL BASSEY of 2 Gospel Street by Nwariba, behind Durap Hotel, Uyo, AKS, Nigeria hereinafter referred to as the **EMPLOYEE** and where the context so admit shall include his/her heirs, personal representatives, Executors, Administrator and Successors-in-title and assigns o the other part.

A. WHEREAS the **EMPLOYER** has instituted Employee Share Ownership Program via this agreement (ESOP) for its employees with mutual rights and obligations of either party under the scheme with the following options;

i. Unless otherwise specified in this scheme the continuation of the Grantee (the employee) in the service of the Employer shall be the primary requirement of vesting.

ii. That the period of vesting shall be Five (5) years with a cliff of one year and remaining 4years will be monthly vesting.

iii. Twenty percent (20%) of the shares shall vest after one year. Thereafter, 1/60th of the shares shall vest each month so that one hundred percent (100%) of the shares shall be vested after five (5) years.

iv. The above vesting periods are regarded as the Exercise periods.

B. EXERCISE OF OPTIONS AND ISSUE OF ESOP

i. WHEREAS parties agreed that the ESOP option can be exercised by the Grantee during the Exercise period only and the option once vested in the Employee become exercisable with the period provided that option not exercised by the employee during the period within the exercise period shall automatically lapse at the expiry of the exercise period.

ii. The employee shall exercise his/her options by submitting and or filling during the exercise period, the application in the format provided by the employer alone indicating the value payable in respect of the exercise price, calculated as the number of shares under exercise multiplied by the exercise price per share.

iii. Only the employee to whom options have been granted under the scheme can exercise the particular options and apply for the issue of shares and the shares would be issued in his/her own name only.

iv. The ESOP shares shall rank on equal footing with the existing equity shares of the **EMPLOYER**.

v. The ESOP schemes are subject to an approved scheme of buy-back by the **EMPLOYER** pursuant to applicable law procedures and terms by the parties as may be indicated by the Employer.

vi. The employee agrees that the employer shall, at all time, have the first lien on all such shares that form the subject matter of this agreement, whether allotted consequent to exercise of original option granted or by way of bonus or right issue or in any way resulting in grant of options to recover any and all amount of any nature whatsoever, payable by the employee to the employer.

C. GRANT OF SHARE OPTIONS

i. **Number of Share Options**: The Company hereby grants the Employee **126 share** options [valued at **N2,998,576.10{Two Million Nine Hundred and Ninety-Eight Thousand, Five Hundred and Seventy Six Naira, Ten Kobo Only}** based on current valuation] under the ESOP.

ii. **Vesting Schedule**: The share options shall vest in accordance with the vesting schedule outlined in Section A(i) and A(ii) above

iii. **Exercise Price**: The exercise price per share for the share options shall be set at 50kobo per share.

iv. **Payment for Exercise**: Upon exercising the share options, the Employee shall pay the exercise price in full. The payment shall be made in cash or by any other method determined by the Company.

D. EFFECT OF TERMINATION/DISASSOCIATION

i. In the event of an option Employee ceasing to be an employee of the employer because of resignation or termination of employment (other than due to reason of misconduct of the employee) then the unvested options by the employee shall forthwith lapse.

ii. Where the employee has disengaged from the employer and is engaged in activities that are materially detrimental to the business or interests of the employer, its subsidiaries or its employees, all the vested and unvested options held by the employee shall be cancelled partly or in full as a disciplinary measure.

iii. In case of termination of service of the grantee for the reason of misconduct, all options vested and unvested shall lapse with immediate effect.

iv. In the event of death of the employee, all options vested till the date of death can be exercised by the nominees or in case of there being no nominee by the legal representatives i.e. executors and/or administrators.

v. In the event of retrenchment of the employee at the instance and or with the consent of the employer, employee will continue to hold all vested options and can exercise them anytime within the exercise period.

E. OBLIGATION OF EMPLOYEE AN OPTION GRANTED shall include the following:

i. **Confidentiality**: the employer shall not divulge the details of the scheme and his holidays to any person without the prior permission of the employer obtained in writing.

ii. **Sales of ESOP**: the ESOP shares can be sold and or transferred by the employer subject to the conditions and terms stated on the disengagement of the employee.

iii. **Non-transferability of options**: unless otherwise specified in the scheme or agreed by the employer, the options shall not be transferable by the employee to any third party or by any assignment, pledge, mortgage etc.

iv. **Tax liability**: in the event of any tax liability regarding ESOP, the employer shall have the right to call upon employees to pay.

F. GENERAL RISK

i. Participation in this scheme shall not be construed as any guarantee of return on the equity investment. Any loss due to change in the financial conditions of the employer and the risks associated with the investment is that of the employee alone.

ii. The employee as an option holder is not entitled to voting rights and profits prior to conversion of options into share.

G. APPLICABLY OF PROVISIONS OF MEMORANDUM AND ARTICLES OF ASSOCIATION

This ESOP plan and the shares that may be allotted pursuant to the ESOP shall be subject to the provision of the employer's memorandum and articles of association.

IN WITNESS whereof of the said parties hereunto set their hands and the seals the day and year first above written.

The common seal of the CLOUD CLINIC LIMITED

…….. ……..

DIRECTOR **DIRECTOR**

Signed, sealed and decided by the within named employee

NAME: Etta, Raphael Bassey
ADDRESS: No. 2 Gospel Street, Uyo, Akwa Ibom Sate
OCCUPATION: Software Engineer
SIGNED:

IN THE PRESENCE OF

NAME:
ADDRESS:
OCCUPATION:
SIGNED: